investments. He has professed his theory, BAAP (buy-at-any-price), behind the performance of this scheme.

The lust to earn high returns has prompted many investors to opt for this PMS scheme, which has underperformed massively. Mukherjea has acknowledged that valuation missteps in stock selection are the reason for the poor performance. Many other investors who started choosing stocks that were part of this portfolio have also been affected. Marcellus did not lose much, as it earned its commission.

4 GLUTTONY: OVER-INDULGENCE

Buy low and sell high is a timeless investment advice. Yet, there are numerous studies and data to indicate how investors get excited and end up doing just the opposite. They invest at market peaks and miss out when the markets are down. When investing, it is a good strategy to plan the duration one will stay invested in. For short term or less than three years, investing in equities is risky; for the medium term, investing for about 5-6 years works favourably, and for the long run, investing for 7 years and more is desired.

Those who stay invested for 7-10 years and more rarely lose money in the stock markets (see *It Pays to Stay Invested*). If you invested Rs 1,000 in the BSE Sensex on January 1, 1980, the investment would be worth Rs 6.64 lakh on January 1, 2025. However, if you had exited the same after three years, it would have only doubled instead of the 664x growth over 45 years. There is no way of predicting how well your investments will perform. Will they take a hit during tough economic times? Or will they give you steady returns?



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In the face of market uncertainty, the best investment strategy is to invest in quality companies for a long period with periodic reviews to change your investments to suit the times. Frequent investing comes at a cost—you pay commissions on transaction costs, and there are also tax implications that can take away from your investment gains if you frequently exit and then reinvest. You also need to be correct twice—when buying a stock at a low cost and selling it at a high price.

The strategy of investing in stock markets through mutual funds is a smart way to reduce transaction costs. It also provides you with an option to invest regularly through SIP (systematic investment plan), by which you can average your cost of investment. Control your gluttony by regularly investing based on a goal and a plan that suits you.

5 WRATH: BEING OVERLY AGGRESSIVE

Aggression and investing don't always work well. While 'higher the risk, higher the reward' is oft-quoted, it does not work for everyone. Investing in penny stocks or new businesses, and even in F&O (Futures and Options), can be considered being overly aggressive. Each one of these has a higher upside potential, but more often than not, the downside is the reality. Wrath is also a trait showing a lack of understanding of investing.

Every day in the media, you can find predictions from stock analysts, professional investors and experts about what's going to happen in the markets. These forecasts are believably argued, pointing to market history and various data points. There is very little check on how this advice has fared over time. However, there is enough evidence that the experts are no better at seeing into the future than you are. Yet, investors commit the sin of listening to them.

For instance, during bull markets, the media often contributes to the hype, showcasing stories of astounding profits. These